

NIFTY 50



VALUATION REPORT

INDEX



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Introduction



➤ Background

The Nifty 50 is an Indian stock market index that represents the float-weighted average of 50 of the largest Indian companies listed on the National Stock Exchange (NSE).

Sectors : It includes companies from 18 sectors of the Indian economy, covering major areas such as Banking, IT, oil and gas, and consumer goods.

Market Capitalization : The index is computed using free float market capitalization method, reflecting the free float market capitalization of all stocks in the index.

Significance : The Nifty 50 serves as a benchmark for the Indian equity market, helping investors gauge market performance and identify investment opportunities.

Introduction



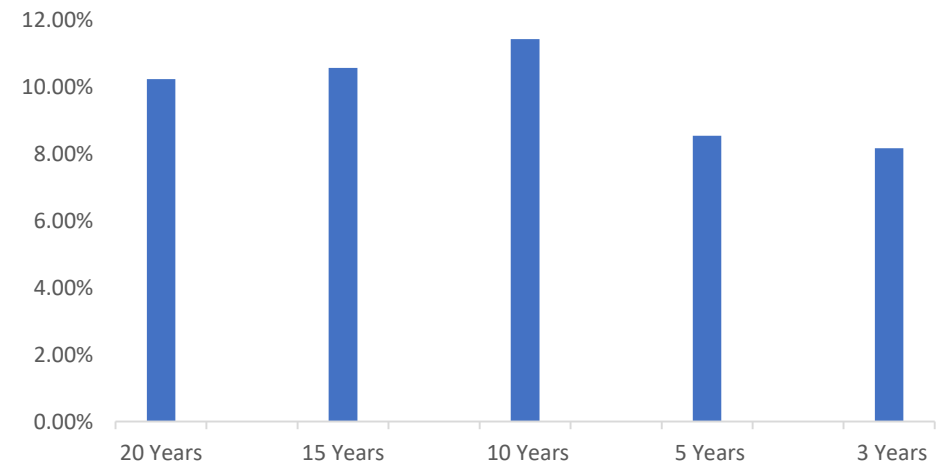
➤ Background

Rebalancing : The index is re-balances semi-annually, with cut-off dates on January 31 and July 31 each year.

Key Statistics :

20 Years CAGR Returns – 10.24%
15 Years CAGR Returns – 10.57%
10 Years CAGR Returns – 11.43%
5 Years CAGR Returns – 8.54%
3 Years CAGR Returns – 8.17%

Average Nifty 50 CAGR



Introduction



➤ Sector wise contribution to Nifty 50 Index

Company	Weight %
Banking	20.12%
IT	9.81%
Petroleum Products	8.80%
Automobiles	7.38%
Financial Services	6.89%
Telecom	5.86%
Metals & Mining	6.11%

Company	Weight %
Construction	5.74%
FMCG	4.22%
Consumer Goods	4.10%
Healthcare	3.55%
Power	3.01%
Retail	2.49%
Other	11.10%

Context of the Valuation

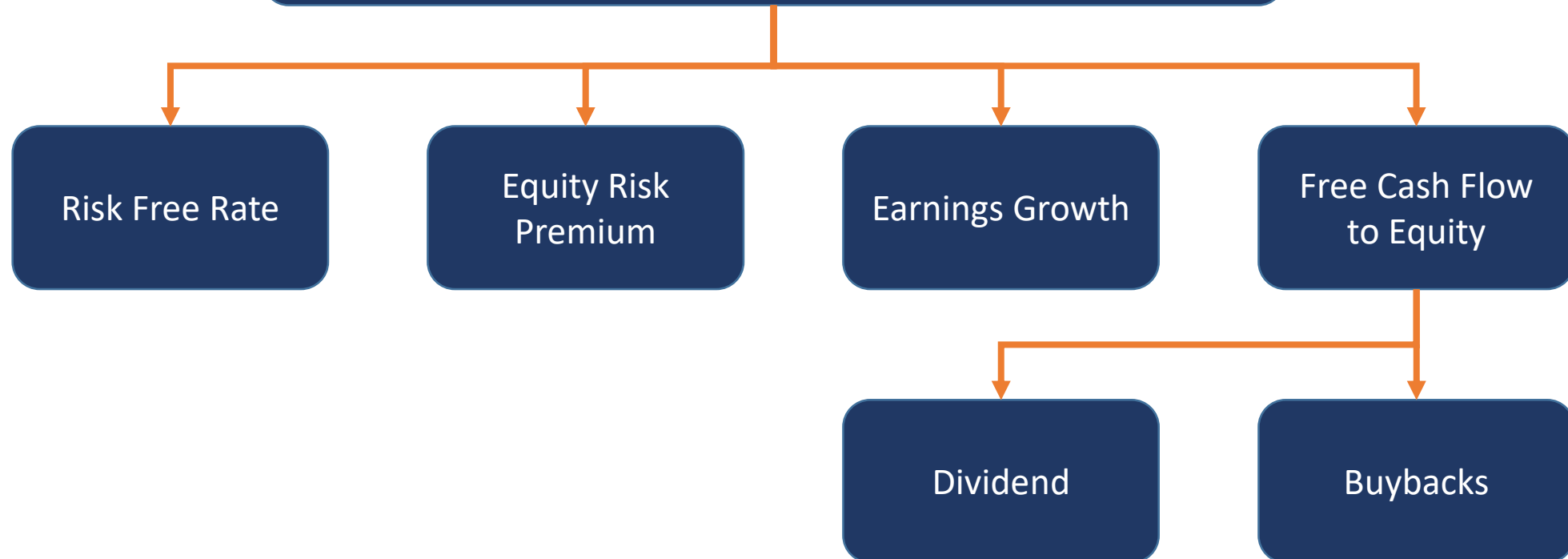


The valuation of the Nifty 50 was undertaken to estimate its intrinsic value based on fundamental financial and market assumptions. The analysis aims to determine whether the index is currently fairly valued, undervalued, or overvalued relative to its prevailing market level.

The Valuation considers :

- * Historical performance and long-term growth trends
- * Earnings and cash flow growth
- * Expected future growth of constituent companies
- * Risk and return assumptions
- * Cost of Equity / Required Rate of Return
- * Terminal growth assumptions
- * Comparison between Intrinsic Value and Current Market Value

Pillars of the Valuation



Approach & Methodology



1. Risk Free Rate

* The Risk-Free Rate (RFR) is the theoretical rate of return an investor expects from an investment with zero default risk.

* In India, the 10-Year Government Bond (G-Sec) Yield is widely used as the proxy for the Risk-Free Rate due to the sovereign backing of the Government of India.

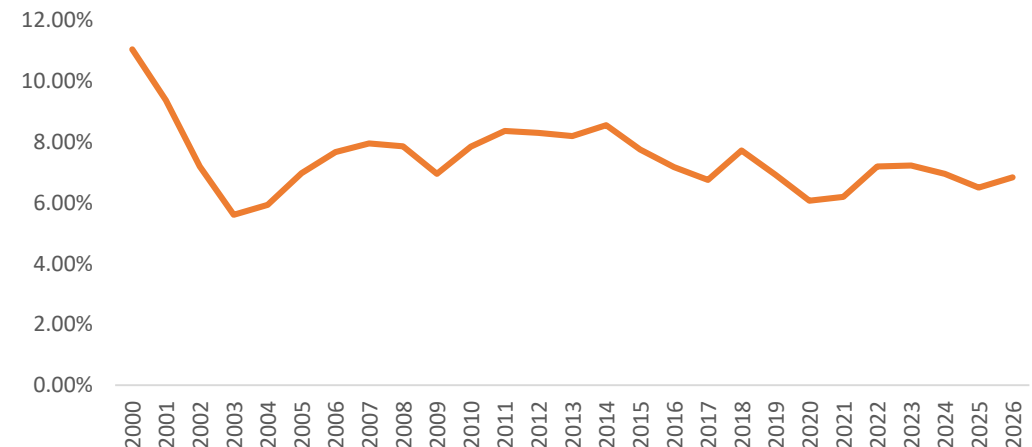
* Used to estimate the Cost of Equity. Helps determine the required rate of return for investors.

* Influences the discount rate used in valuation models such as DCF.

* A critical assumption in assessing whether the NIFTY 50 Index is fairly valued, overvalued, or undervalued.

Average Risk Free Rate for -	10Y Bond Rate
10 Years	6.83%
5 Years	6.94%
Latest 28 th July 2026	6.84%

10Y Average Gov. Bond Range (2000-2026)



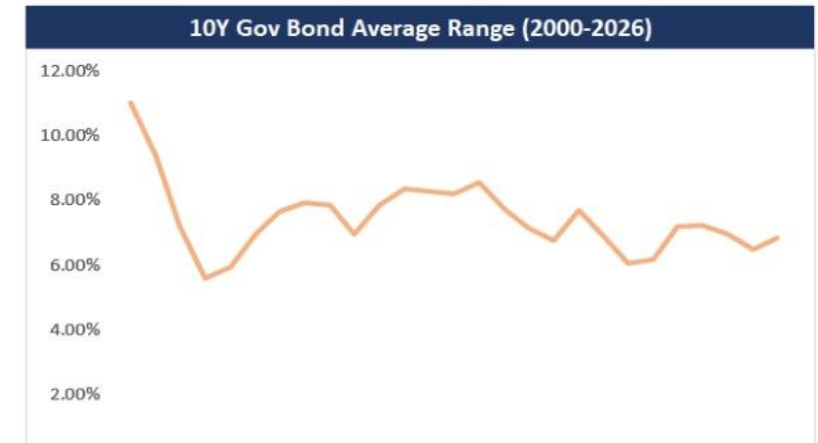
Approach & Methodology



Date	Price	Open	High	Low	Change %
1/7/2026	6.77%	6.75%	6.83%	6.68%	0.22%
1/6/2026	6.75%	7.01%	7.02%	6.70%	-3.57%
1/5/2026	7.00%	7.01%	7.11%	6.92%	-0.21%
1/4/2026	7.02%	6.95%	7.12%	6.86%	0.82%
1/3/2026	6.96%	6.67%	6.95%	6.63%	4.50%
1/2/2026	6.66%	6.76%	6.76%	6.64%	-0.51%
1/1/2026	6.70%	6.57%	6.71%	6.57%	1.62%
1/12/2025	6.59%	6.57%	6.66%	6.49%	0.92%
1/11/2025	6.53%	6.52%	6.55%	6.48%	-0.02%
1/10/2025	6.53%	6.52%	6.57%	6.48%	-0.64%
1/9/2025	6.57%	6.58%	6.58%	6.45%	-0.26%
1/8/2025	6.59%	6.36%	6.61%	6.31%	3.32%
1/7/2025	6.38%	6.29%	6.37%	6.28%	0.95%
1/6/2025	6.32%	6.22%	6.31%	6.18%	1.71%
1/5/2025	6.21%	6.35%	6.39%	6.16%	-2.24%
1/4/2025	6.35%	6.57%	6.57%	6.31%	-3.32%
1/3/2025	6.57%	6.73%	6.74%	6.57%	-2.23%
1/2/2025	6.72%	6.66%	6.72%	6.65%	0.45%
1/1/2025	6.69%	6.78%	6.84%	6.67%	-1.04%
1/12/2024	6.76%	6.80%	6.81%	6.67%	0.13%
1/11/2024	6.75%	6.83%	6.86%	6.74%	-1.32%
1/10/2024	6.84%	6.76%	6.88%	6.73%	1.35%
1/9/2024	6.75%	6.88%	6.89%	6.71%	-1.65%
1/8/2024	6.86%	6.91%	6.92%	6.84%	-0.88%
1/7/2024	6.92%	7.02%	7.02%	6.91%	-1.20%
1/6/2024	7.01%	6.96%	7.06%	6.95%	0.31%
1/5/2024	6.99%	7.17%	7.17%	6.97%	-2.90%
1/4/2024	7.20%	7.09%	7.24%	7.08%	2.03%
1/3/2024	7.05%	7.06%	7.10%	7.01%	-0.37%

Year	10Y Bond Average Range
2000	11.04%
2001	9.37%
2002	7.20%
2003	5.60%
2004	5.93%
2005	6.97%
2006	7.66%
2007	7.95%
2008	7.85%
2009	6.95%
2010	7.85%
2011	8.37%
2012	8.30%
2013	8.20%
2014	8.56%
2015	7.75%
2016	7.17%
2017	6.75%
2018	7.72%
2019	6.92%
2020	6.06%
2021	6.19%
2022	7.19%
2023	7.22%
2024	6.95%
2025	6.50%
2026	6.84%

Average Rate- 20 Years	7.36%
Average Rate- 15 Years	7.22%
Average Rate- 10 Years	6.83%
Average Rate- 5 Years	6.94%
Average Rate- 3 Years	6.76%
Average Rate- Latest	6.84%



Approach & Methodology



2. Equity Risk Premium

* Equity Risk Premium (ERP) is the additional return investors expect for investing in equities instead of risk-free government securities. It represents the compensation for taking equity market risk..

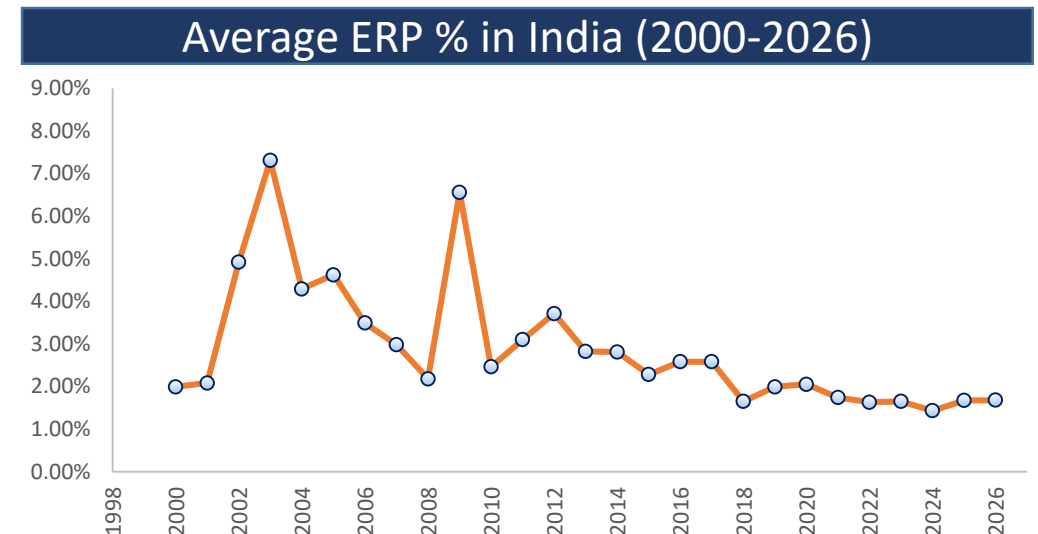
* A higher ERP indicates greater perceived market risk and a higher required return. A lower ERP suggests improved investor confidence and lower perceived risk.

* ERP is a key input in estimating the Cost of Equity using CAPM.

* The 2008–2009 spike in Equity Risk Premium was caused by the Global Financial Crisis (GFC).

* The spike in the Year 2003 is the aftermath of the Dot-com Bubble (2000–2002)

Average ERP for -	ERP %
10 Years	1.81%
5 Years	1.61%
Latest 28 th July 2026	1.68%

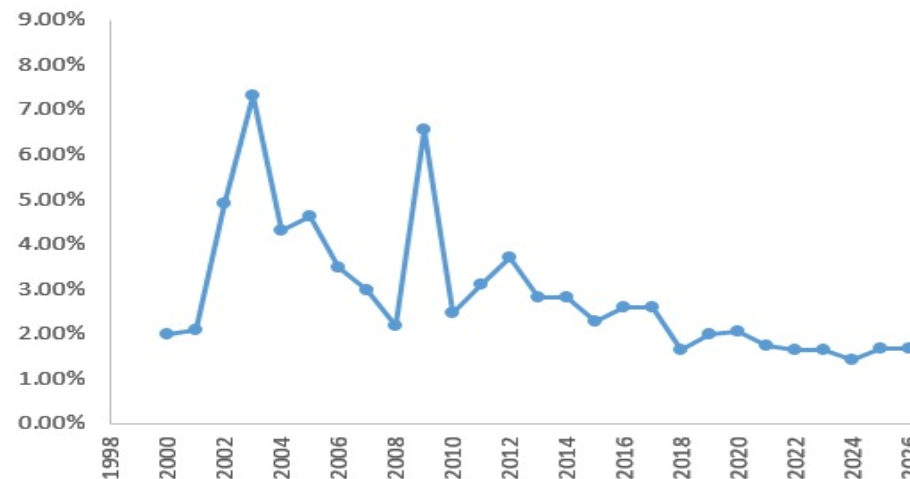


Approach & Methodology



Year beginning	ERP % in India
2000	1.99%
2001	2.08%
2002	4.92%
2003	7.31%
2004	4.29%
2005	4.62%
2006	3.49%
2007	2.98%
2008	2.18%
2009	6.56%
2010	2.46%
2011	3.10%
2012	3.71%
2013	2.82%
2014	2.81%
2015	2.28%
2016	2.58%
2017	2.58%
2018	1.65%
2019	1.99%
2020	2.05%
2021	1.74%
2022	1.63%
2023	1.65%
2024	1.43%
2025	1.67%
2026	1.68%

Average ERP- 20 Years	2.48%
Average ERP- 15 Years	2.15%
Average ERP- 10 Years	1.81%
Average ERP- 5 Years	1.61%
Average ERP- 3 Years	1.59%
Average ERP- Latest	1.68%



Equity Risk Premium
Calculation

Approach & Methodology



3. Earnings Growth

* Earnings Growth refers to the annual increase in the aggregate earnings of the companies comprising the Nifty 50 Index.

* Driven by revenue growth, margin expansion, productivity improvements, and economic growth.

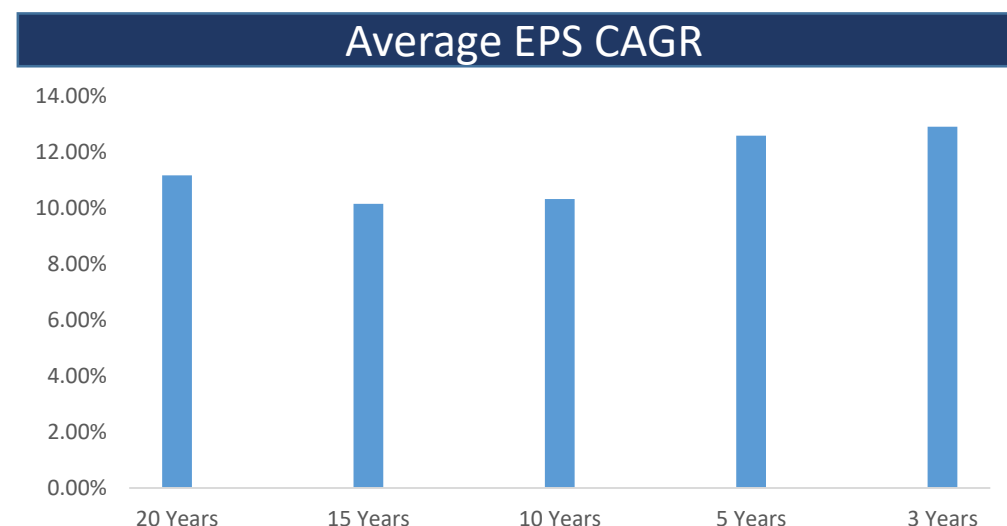
* Earnings expectations significantly influence investor sentiment and market performance.

* Higher Earnings Growth → Higher Future Cash Flows → Higher Fair Value.

* Lower Earnings Growth → Lower Future Cash Flows → Lower Fair Value

* Growth assumptions have a direct impact on the estimated intrinsic value of the index.

Average ERP CAGR for -	Equity Risk Premium %
10 Years	10.31%
5 Years	12.57%
3 Years	12.90%

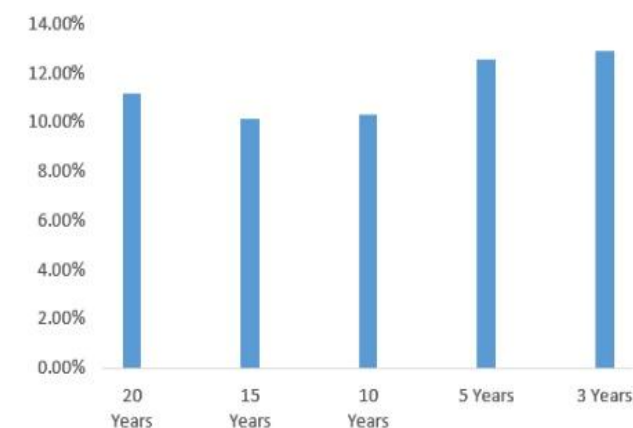


Approach & Methodology



Year	Nifty Average Range	PE Ratio	Nifty EPS	EPS CAGR 3 Years	EPS CAGR 5 Years	EPS CAGR 10 Years	EPS CAGR 15 Years	EPS CAGR 20 Years
2000	1376.80	22.14	62.18	-	-	-	-	-
2001	1117.58	16.34	68.41	-	-	-	-	-
2002	1045.48	16.09	64.99	-	-	-	-	-
2003	1264.07	14.52	87.07	11.88%	-	-	-	-
2004	1750.25	16.30	107.36	16.21%	-	-	-	-
2005	2297.10	14.81	155.12	33.64%	20.06%	-	-	-
2006	3420.48	19.17	178.38	27.01%	21.13%	-	-	-
2007	4680.65	21.34	219.36	26.89%	27.55%	-	-	-
2008	4198.83	18.67	224.90	13.18%	20.90%	-	-	-
2009	4183.45	18.71	223.57	7.82%	15.80%	-	-	-
2010	5462.09	22.89	238.63	2.85%	9.00%	14.40%	-	-
2011	5319.93	19.80	268.72	6.11%	8.54%	14.66%	-	-
2012	5410.56	18.06	299.64	10.25%	6.44%	16.51%	-	-
2013	5908.09	17.77	332.50	11.69%	8.13%	14.34%	-	-
2014	7453.50	19.90	374.51	11.70%	10.87%	13.31%	-	-
2015	8298.82	22.43	369.91	7.28%	9.16%	9.08%	12.62%	-
2016	8138.21	21.94	370.92	3.71%	6.66%	7.60%	11.93%	-
2017	9661.42	24.73	390.70	1.42%	5.45%	5.94%	12.70%	-
2018	10826.45	26.41	409.91	3.48%	4.27%	6.19%	10.88%	-
2019	11535.40	27.69	416.55	3.94%	2.15%	6.42%	9.46%	-
2020	11150.46	28.58	390.18	-0.04%	1.07%	5.04%	6.34%	9.62%
2021	15942.68	30.61	520.79	8.31%	7.02%	6.84%	7.40%	10.68%
2022	17329.47	21.52	805.43	24.58%	15.57%	10.39%	9.06%	13.41%
2023	18975.36	21.71	874.21	30.85%	16.36%	10.15%	9.47%	12.22%
2024	23596.73	22.72	1038.76	25.88%	20.05%	10.74%	10.78%	12.02%
2025	24634.61	21.88	1126.00	11.82%	23.61%	11.77%	10.90%	10.42%
2026	24015.91	21.16	1134.71	9.08%	16.85%	11.83%	10.08%	9.69%

Average EPS CAGR- 20 Years	11.15%
Average EPS CAGR- 15 Years	10.14%
Average EPS CAGR- 10 Years	10.31%
Average EPS CAGR- 5 Years	12.57%
Average EPS CAGR- 3 Years	12.90%



Approach & Methodology

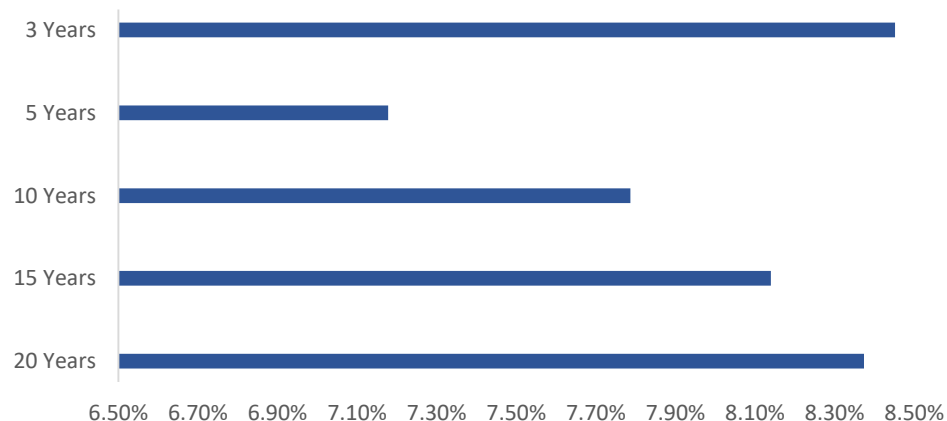


4. Free Cash Flow To Equity

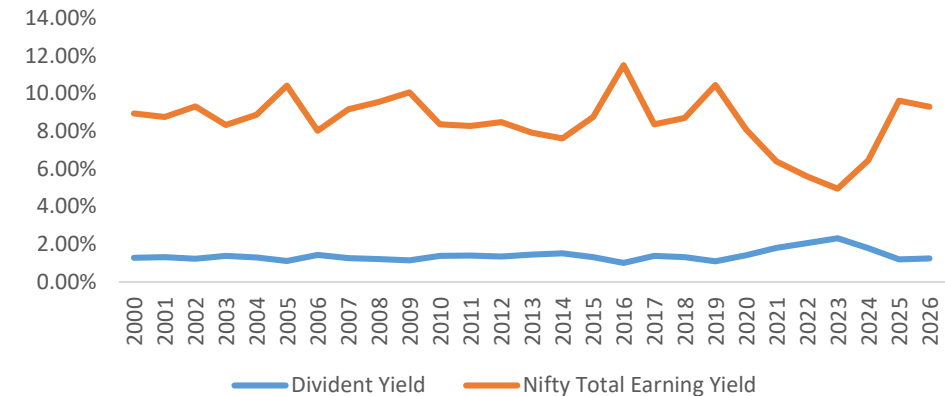
* For index valuation, direct FCFE calculation for individual Nifty 50 constituents can be complex; therefore, a proxy FCFE approach has been used.

* The proxy cash flow to equity shareholders is estimated as:
 $\text{FCFE (PROXY)} = \text{Dividends} + \text{Shares Buyback}$

Nifty Dividends & Total Earning Yield



Nifty Dividends & Total Earning Yield



4.1 Free Cash Flow To Equity

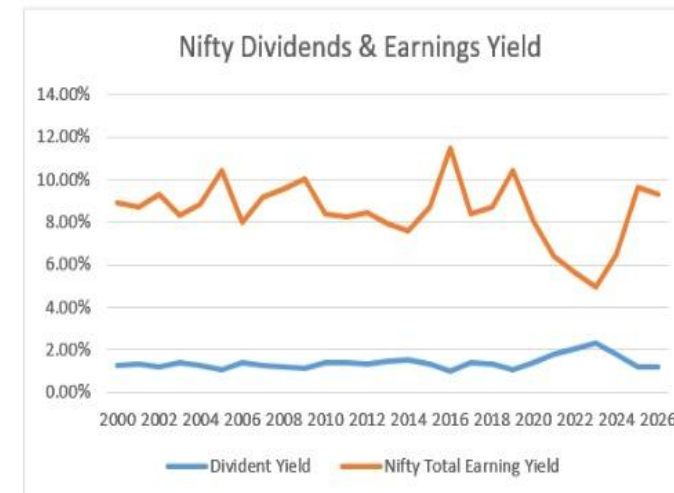
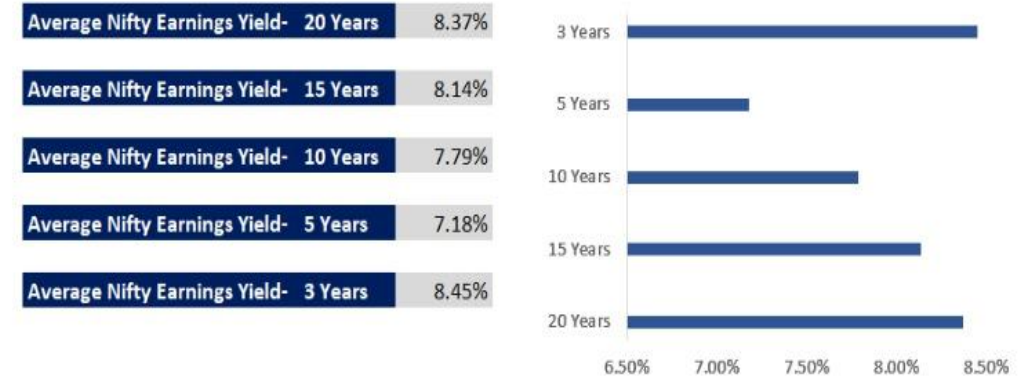
* The FCFE proxy approach provides a practical framework for valuing the NIFTY 50 Index by measuring the cash actually returned to equity investors through dividends and share repurchases.

* Historical buyback data has been sourced from Aswath Damodaran's data repository. A higher ERP indicates greater perceived market risk and a higher required return.

Approach & Methodology



Year	Nifty Average Range	Divident Yield	Divident Amount	BB Amount	Total Earnings	Nifty Total Earning Yield
2000	1376.80	1.28%	107355.50	15566.70	122922.20	8.93%
2001	1117.58	1.31%	85371.26	12378.95	97750.22	8.75%
2002	1045.48	1.23%	84962.58	12319.69	97282.28	9.31%
2003	1264.07	1.38%	91794.02	13310.26	105104.28	8.31%
2004	1750.25	1.29%	135635.90	19667.40	155303.29	8.87%
2005	2297.10	1.10%	208758.78	30270.32	239029.10	10.41%
2006	3420.48	1.43%	239473.16	34723.95	274197.11	8.02%
2007	4680.65	1.25%	374292.78	54272.98	428565.77	9.16%
2008	4198.83	1.20%	350234.98	50784.57	401019.55	9.55%
2009	4183.45	1.14%	367345.74	53265.65	420611.39	10.05%
2010	5462.09	1.37%	398598.59	57797.36	456395.95	8.36%
2011	5319.93	1.38%	384233.46	55714.40	439947.86	8.27%
2012	5410.56	1.35%	400709.42	58103.43	458812.85	8.48%
2013	5908.09	1.45%	408039.64	59166.32	467205.96	7.91%
2014	7453.50	1.51%	494954.09	71769.04	566723.13	7.60%
2015	8298.82	1.31%	633595.68	91872.27	725467.95	8.74%
2016	8138.21	1.00%	816835.34	118442.28	935277.62	11.49%
2017	9661.42	1.37%	705318.83	102272.23	807591.05	8.36%
2018	10826.45	1.32%	822820.90	119310.19	942131.10	8.70%
2019	11535.40	1.10%	1053094.26	152700.16	1205794.42	10.45%
2020	11150.46	1.42%	787439.50	114179.84	901619.34	8.09%
2021	15942.68	1.79%	888516.66	128836.17	1017352.83	6.38%
2022	17329.47	2.05%	845469.73	122594.31	968064.04	5.59%
2023	18975.36	2.31%	819893.18	118885.67	938778.85	4.95%
2024	23596.73	1.78%	1328811.36	192679.53	1521490.88	6.45%
2025	24634.61	1.19%	2068873.65	299989.60	2368863.26	9.62%
2026	24015.91	1.23%	1949026.71	282611.63	2231638.34	9.29%



Approach & Methodology



Date	Closing Price	Change %	Monthly Return
1/7/26	23869.6	0.02%	
1/6/26	23865.75	1.35%	-0.02%
1/5/26	23547.75	-1.87%	-1.33%
1/4/26	23997.55	7.46%	1.91%
1/3/26	22331.4	-11.31%	-6.94%
1/2/26	25178.65	-0.56%	12.75%
1/1/26	25320.65	-3.10%	0.56%
1/12/25	26129.6	-0.28%	3.19%
1/11/25	26202.95	1.87%	0.28%
1/10/25	25722.1	4.51%	-1.84%
1/9/25	24611.1	0.75%	-4.32%
1/8/25	24426.85	-1.38%	-0.75%
1/7/25	24768.35	-2.93%	1.40%
1/6/25	25517.05	3.10%	3.02%
1/5/25	24750.7	1.71%	-3.00%
1/4/25	24334.2	3.46%	-1.68%
1/3/25	23519.35	6.30%	-3.35%
1/2/25	22124.7	-5.89%	-5.93%
1/1/25	23508.4	-0.58%	6.25%
1/12/24	23644.8	-2.02%	0.58%
1/11/24	24131.1	-0.31%	2.06%
1/10/24	24205.35	-6.22%	0.31%
1/9/24	25810.85	2.28%	6.63%
1/8/24	25235.9	1.14%	-2.23%
1/7/24	24951.15	3.92%	-1.13%
1/6/24	24010.6	6.57%	-3.77%
1/5/24	22530.7	-0.33%	-6.16%
1/4/24	22604.85	1.24%	0.33%
1/3/24	22326.9	1.57%	-1.23%
1/2/24	21982.8	1.18%	-1.54%

Year	Nifty Average Range	Average Return
2000	1376.80	
2001	1117.58	-18.83%
2002	1045.48	-6.45%
2003	1264.07	20.91%
2004	1750.25	38.46%
2005	2297.10	31.24%
2006	3420.48	48.90%
2007	4680.65	36.84%
2008	4198.83	-10.29%
2009	4183.45	-0.37%
2010	5462.09	30.56%
2011	5319.93	-2.60%
2012	5410.56	1.70%
2013	5908.09	9.20%
2014	7453.50	26.16%
2015	8298.82	11.34%
2016	8138.21	-1.94%
2017	9661.42	18.72%
2018	10826.45	12.06%
2019	11535.40	6.55%
2020	11150.46	-3.34%
2021	15942.68	42.98%
2022	17329.47	8.70%
2023	18975.36	9.50%
2024	23596.73	24.35%
2025	24634.61	4.40%
2026	24015.91	-2.51%

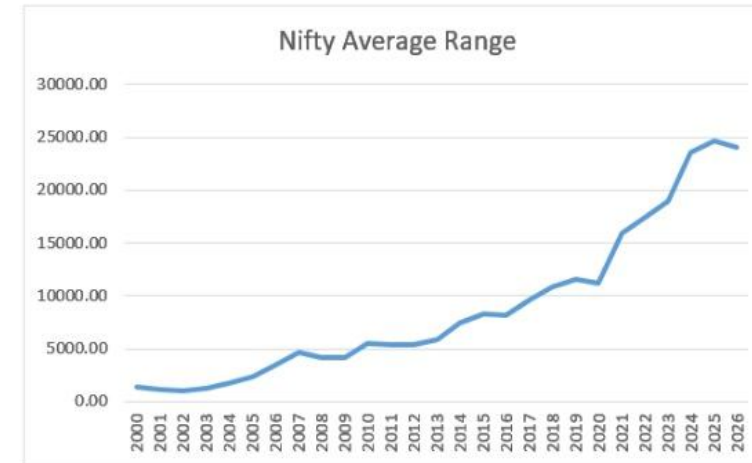
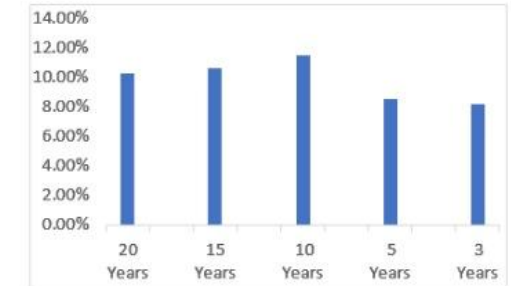
CAGR Nifty Return- 20 Years 10.24%

CAGR Nifty Return- 15 Years 10.57%

CAGR Nifty Return- 10 Years 11.43%

CAGR Nifty Return- 5 Years 8.54%

CAGR Nifty Return- 3 Years 8.17%



Approach & Methodology



5. Time Frame for the Valuation Report

- * The Valuation date of the report is as on 28th July, 2026.
- * All the averages for the data such as Risk Free Rate, Equity Risk Premium, Free Cash Flow to Equity, Nifty 50 historical returns, EPS growth and Dividend Yield have been calculated from FY 2000-2001 to FY 2025-2026.

6. Beta

- * Beta while performing Nifty 50 Index Valuation has been considered as “1”.
- * A Beta close to 1 indicates that the NIFTY 50 moves in line with the broader market, reflecting market-level systematic risk.
- * Beta measures the systematic risk of the NIFTY 50 Index relative to the overall market, indicating the sensitivity of index returns to market movements.

Valuation of Index



Valuation of Nifty 50			29638.93
Key Inputs		Assumpstions	Undervalued
Date	2-Aug-26	2-Aug-26	
Current Nifty 50 Price	23995.95	23995.95	
Total Yield	10 Years	7.79%	
Expected Growth	10 Years	10.31%	
Risk Free Rate	Latest	6.84%	
Equity Risk Premium	Latest	1.68%	
Cost of Equity		8.52%	
Year	Expected Divident and Buyback	Cumulative PV Factor (Risk Free Rate + Equity Risk Premium)	Presented Value of Expected Dividents & Buyback
2026	2061.18	0.9215	1899.41
2027	2273.62	0.8492	1930.73
2028	2507.95	0.7825	1962.57
2029	2766.43	0.7211	1994.93
2030	3051.55	0.6645	2027.83
2031	3366.06	0.6124	2061.27
2032	3712.99	0.5643	2095.27
2033	4095.67	0.5200	2129.82
2034	4517.79	0.4792	2164.94
2035	4983.42	0.4416	2200.64
2036	5497.04	0.4069	2236.93
2037	6063.60	0.3750	2273.82
2038	6688.54	0.3456	2311.32
2039	7377.90	0.3184	2349.44

Parameter	Value
Current NIFTY 50 Market Price	23,995.95
Valuation Method	FCFE Based Index Valuation
Historical Average Earnings Growth (10 Years)	10.31%
Dividend Yield + Buyback Yield (10-Year Average)	7.79%
Risk-Free Rate (Latest)	6.84%
Equity Risk Premium (ERP)	1.68%
Cost of Equity	8.52%

Sources & Disclaimer



➤ Sources :

- * **Investing.com** : (Risk Free Rate historical data)
- * **Market Premia** : (Equity Risk Premium)
- * **NSE official website** : (Nifty 50 historical data)
- * **Prof. Aswath Damodaran website** : (Buyback data sector wise)

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- * The Valuations carried out are based out of a good amount of assumptions which are built based on the understanding of the current scenario in Indian Equity Market.
- * The report has been prepared solely for educational purpose.
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Acknowledgment



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Thank you for taking the time to review this report. Your feedback and suggestions are highly valued and always welcome.

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